

would be worth only $\approx 16x$. A business that grows at 5% and doesn't need any capital would be worth $\approx 14x$ its current earnings, and the same business needing all of its earnings reinvested would be worth $\approx 7x$. A return of 15% compounded over 30 years is worth over $87x$ the initial stake, whereas 5% compounded over the same period is worth just under $4.5x$. In this example, a threefold increase in the compound rate (from 5% to 15%) leads to an almost twentyfold increase in return ($87x$ vs $4.5x$).

This example illustrates the power of finding capital light businesses that can grow for prolonged periods of time. Conversely, the worst business is actually one that grows and consumes increasing amounts of capital at returns that fail to exceed its cost of capital. There are, of course, businesses that require capital to grow, like a railroad, a financial institution, or retailers like Walmart or Amazon, where the returns on the newly deployed capital are perfectly acceptable; this growth capital will over time produce economic value. But price is paramount in determining returns. This was the great insight of Graham and Dodd. Great businesses can be terrible investments at the wrong price, and an average business can be a great investment at the right price. Fast-growing businesses can be attractive, but only at the right price. In recent years, during long periods of low interest rates, many investors flocked to growth at all costs under the simple and flawed formula of earnings yield plus growth rate. Because price is key, one must additionally adjust the growth rate by comparing today's price relative to a company's intrinsic value. The value of the growth is diminished because you've paid a significant price for it up front.

The market has historically traded around a $15x$ earnings multiple which equates to a 6.7% earnings yield. If you can find a better than average business with better than average management for less than this earnings multiple, it is likely a good start. Graham and Dodd called this a margin of safety.